

22CV46224 - LAWRENCE J. SARKIS

Plaintiff/Cross-Defendant

v.

ANGELS GUN CLUB; DAVID VERHALEN

Defendants/Cross-Complainants

**PLAINTIFF'S MOTION TO COMPEL INSPECTION AND
FOR MONETARY SANCTIONS**

TENTATIVE RULING

This matter arises from a dispute over the operation of a gun club and related settlement agreement between Plaintiff/Cross-Defendant Lawrence J. Sarkis ("Plaintiff") and Angels Gun Club ("AGC") and David Verhalen ("Verhalen") (collectively "Defendants.")

Now before the Court is Plaintiff's motion to compel further responses to demand for inspection. As set forth below, the motion is granted, subject to the specifics of this Order.

I. Background Facts

On or around May 21, 2014, Plaintiff filed a complaint against AGC, seeking relief for Plaintiff's suspension and eventual expulsion from AGC for being a whistleblower. (FAC ¶ 7.) On or around September 19, 2014, Plaintiff filed a derivative action seeking relief for his claims that certain individuals mismanaged AGC, violated the law, and breached their fiduciary duties (collectively referred to herein as the "Previous Actions") (*Ibid.*)

In December 2021, Plaintiff entered into the Agreement with AGC, David Richards ("Richards"), Kathleen Bachelor, and each of AGC's then acting board members to settle the Previous Actions. Pursuant to that Agreement, AGC paid Plaintiff damages, agreed to retain an new Certified Public Accountant, was to direct the new CPA to audit AGC's sales tax payments from 2015 through 2020 and provide verification of the audit and its findings to Plaintiff, and "for five (5) years, AGC is required to provide copies of the annual profit & loss statements, annual revenue reports, and annual expense reports to David Richards upon written request." (FAC ¶ 8, Ex. A.)

On October 17, 2023, Plaintiff filed a First Amended Complaint ("FAC") in this matter alleging claims for breach of contract, false promise, negligent and intentional misrepresentation and breach of the implied covenant of good faith and fair dealing. Central to Plaintiff's causes of action is his allegation that the Agreement requires AGC

to produce “annual profit & loss statements, annual revenue reports, and annual expense reports” (“Reports”) to Richards for a period of five years. (FAC ¶11.) Plaintiff alleges that not only were the Reports not produced, but that AGC knew when it entered the Agreement that it could not produce the types of reports for which Plaintiff bargained. (FAC ¶ 24.)

II. Procedural History (Discovery)

On or about February 9, 2023, Plaintiff’s counsel served AGC with a Request for Special Interrogatories, Set One (“SROGS.”) (Declaration of Makayla M. Whitney (“Whitney Decl.”) ¶ 2.) On or about March 14, 2023, AGC provided its response (*Ibid.*, Ex. A.) On or about November 12, 2024, Plaintiff’s counsel served AGC with the Demand for Inspection of certain electronic devices (“Inspection Demand”) (Whitney Decl. ¶ 3, Ex. B.) AGC provided an unverified response on December 16, 2024, with a verified response provided on January 10, 2025. (Whitney Decl. ¶¶ 4,5.)

The parties have engaged in substantial meet and confer efforts but have been unable to come to a resolution.

III. Legal Standard

Motions to compel further responses to requests for production or inspection must set forth specific facts showing good cause justifying the discovery sought by the request. (CCP § 2031.310(b).) To establish good cause, a discovery proponent must identify a disputed fact that is of consequence in the action and explain how the discovery sought will tend in reason to prove or disprove that fact or lead to other evidence that will tend to prove or disprove the fact. (*Digital Music News LLC v. Superior Court* (2014) 226 Cal.App.4th 216, 224, disapproved on other grounds by *Williams v. Superior Court* (2017) 3 Cal.5th 531; *see also Kirkland v. Superior Court* (2002) 95 Cal.App.4th 92, 98 [characterizing good cause as “a fact-specific showing of relevance”].) If good cause is shown by the moving party, the burden shifts to the responding party to justify any objections made to disclosure of the documents. (*Kirkland, supra*, 95 Cal.App.4th at 98.)

The scope of permissible discovery is very broad. [citation]. “[A]ny party may obtain discovery regarding any matter, not privileged, that is relevant to the subject matter involved in the pending action ... if the matter either is itself admissible in evidence or appears reasonably calculated to lead to the discovery of admissible evidence.” (Code Civ. Proc., § 2017.010.) For discovery purposes, information is relevant if it might reasonably assist a party in evaluating the case, preparing for trial, or facilitating settlement. Admissibility is *not* the test. Rather, it is sufficient if the information sought might reasonably lead to other admissible evidence. [citation].

(*Children’s Hospital Central California v. Blue Cross of California* (2014) 226 Cal.App.4th 1260-1276-1277.) The scope of discovery is one of reason, logic and common sense. (*Lipton v. Superior Court* (1996) 48 Cal.App.4th 1599, 1612.)